

The Coca-Cola Company

3Q24 Earnings Prep

We take a more conservative stance than the Street for 3Q top line but are broadly in line on profitability.

While consensus estimates for KO's 3Q OSG have come in somewhat (now closer to ~6.5% than ~7%), we think the Street remains too optimistic. Recall, KO shared pointed messaging at our conference around several key markets, and incremental updates from other companies since early September have also highlighted the challenging weather in Europe over the last month of the quarter. As such, we tempered our 3Q OSG in mid-October to +5.7% (from +5.9%). But our EPS is broadly in line with the Street (consensus rounds up to \$0.75 while BARCe rounds down to \$0.74).

Current Consensus Expectations

---- 3Q24 ----

- 3Q24 EPS: \$0.75 [\$0.73-\$0.75 range, Barclays = \$0.74]
- 3Q24 sales growth: -2.6% [-3.6% to -0.9% range, Barclays = -3.3%, +5.7% organic]

---- 2024 ----

- 2024 EPS: \$2.85 [\$2.83-\$2.92 range, Barclays = \$2.84]
- 2024 sales growth: +0.4% [-1.1% to +1.6% range, Barclays = +0.1%, +10.1% organic]

---- 2025 ----

- 2025 EPS: \$3.04 [\$2.97-\$3.12 range, Barclays = \$3.01]
- 2025 sales growth: +4.8% [Barclays = +4.4%, +5.7% organic]

Source: Consensus figures from Bloomberg

Our Thoughts

We felt like KO conveyed rather pointed messaging around several key markets at our conference in early September – not necessarily because business trends had materially changed since the company reported in late July, but rather we think the Street's ~7% OSG forecast was too high. The company took care to remind investors about the tougher comps for LatAm, broad China weakness, and ongoing geopolitical pressures in Eurasia ([The Coca-Cola Company: Conference Takeaways](#), 09/05/24), which we felt we had more adequately contemplated in our 3Q OSG forecast closer to ~6%. To be sure, weather seems to have worsened over the last month in Europe, and our 3Q OSG forecast of +5.7% (slightly tempered from +5.9% in mid-October) reflects assumed softer performance there during the quarter. That said, the Street still appears anchored closer to ~7% for the quarter (+6.7%), so we see room for closer-in sales forecasts to come down.

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| CORE

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 74.00
Price (21-Oct-24)	USD 69.45
Potential Upside/Downside	+6.6%

U.S. CHPC & Beverages

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But looking past 3Q by itself to better appreciate the bigger picture, we continue to like KO's all-weather strategy that consistently delivers in a non-linear world. As we highlighted last week in [U.S. CHPC & Beverages: Musings on Where to Play](#) (09/30/24), we think KO boasts attractive defensive characteristics (relatively low China exposure, high gross margins). But at the same time, we see a compelling global category development opportunity to support robust consolidated growth ahead that can weather various puts and takes across different markets based on their macro backdrops.

For 3Q, we look for total company organic sales to grow +5.7%, which is predicated on volumes down -0.3% and price/mix +6%. Our updated forecasts as of mid-October were largely unchanged vs. how we had been thinking of the business over the last few months, with the exceptions of; 1) tempering our European volumes by -100 bps to better reflect the worse weather that materialized in September, and 2) shifting 50 bps of LatAm volume growth into price/mix to account for some generally mixed messaging we've heard about markets in the region. Layering in a -4.0% drag from currency pressure and -5.0% structural headwind from refranchising, all-in, we look for net sales to decline -3.3% this quarter. We forecast ~160 bps of gross margin expansion in the quarter, driven by a +150 bps structural benefit as underlying growth is largely offset by currency. We see SG&A as a percent of sales to grow ~50 bps YoY, translating to an operating margin of 30.7%. We continue to look for 3Q24 EPS of \$0.74 (+0.9% YoY).

What Matters Most To Us

- 2024 guidance (including the latest on FX) and KO's conviction behind that outlook
- Perspective on recent volume trends and KO's efforts to support steady growth
- Progress on US focus areas

Guidance Recap

---- 3Q24 ----

- Currency: 4% headwind to revenues; 8% headwind to EPS (based on rates as of July and inclusive of hedged positions)
- Structural: 4-5% headwind to comparable net revenues; 1-2% headwind to EPS

---- 2024 ----

- Organic revenue growth: +9-10%
- EPS growth: +5-6% (currency neutral +13-15%)
- Currency: 5-6% headwind to revenues and 8-9% headwind to earnings (both including the impact of hedged positions)
- Structural: 4-5% headwind to comparable net revenues; 1-2% headwind to EPS
- Inflation: more normalized levels of inflation (historical run-rate ~LSD)
- Tax rate: ~19.0%, not including any impact of ongoing tax litigation
- FCF: \$9.2 billion, not including any potential payments related to ongoing tax litigation
- OCF: \$11.4 billion
- Capex: \$2.2 billion

---- Long-Term Guidance ----

- Organic revenue growth +4-6%
- Comparable, FX-neutral operating income growth 6% to 8%
- Comparable, FX-neutral EPS growth +7-9%
- Adjusted free cash flow conversion 90% to 95%
- CapEx at 4.5% to 5% of net revenue
- Target of 2 to 2.5x net debt leverage

KO 3Q24 Earnings Call Details

Wednesday, October 23rd @ 8:30 a.m. ET - US: 888-415-4465; International: 646-960-0140;
Passcode: 6819315

As always, please feel free to call with any questions or comments.

Best,

Lauren

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The Coca-Cola Company (KO, 21-Oct-2024, USD 69.45), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)

Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)
Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
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The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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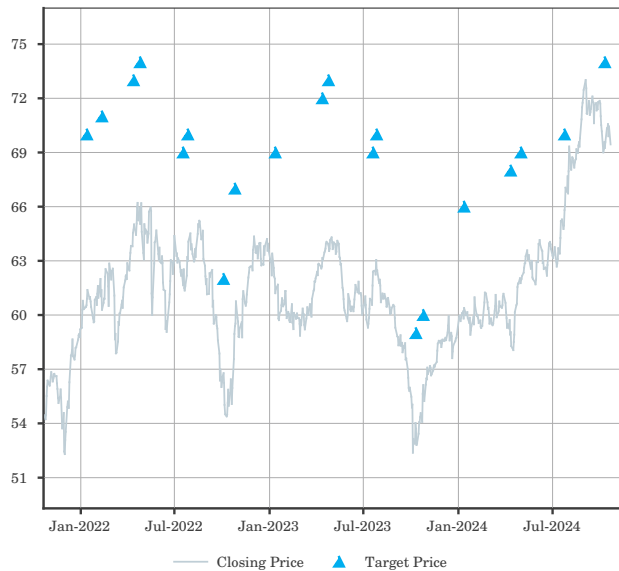
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 69.45** (21-Oct-2024)

Rating and Price Target Chart - USD (as of 21-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
10-Oct-2024	69.57		74.00
24-Jul-2024	64.96		70.00
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00

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